

Eve of Independence – Class 12 Economics

• British Rule in India:

- **Start Date:** 1757 (Battle of Plassey).
- **End Date:** 1947.
- **Primary Objective:** Exploitation of India's natural resources and markets to fuel industrial growth in Britain.

• Nature of Indian Economy Under British Rule:

- **Colonial Economy:** India served as a colony, supplying raw materials and consuming finished goods from Britain.
- **Backward Economy:** Stagnation and lack of modern industrial development.
- **Stagnant Economy:** Very little growth in national and per capita income.
- **Semi-Feudal Economy:** Coexistence of feudal land relations (e.g., Zamindari) with emerging capitalist elements.
- **Amputated Economy:** Disrupted traditional economic structures and self-sufficiency.
- **State of Indian Economy Before British Rule:**
 - **Prosperous Agrarian Economy:** Self-sufficient villages with thriving agriculture.
 - **Rich Food Grains:** India was a major producer of food grains.
 - **Famous Handicrafts:** World-renowned for fine quality cotton and silk textiles, metal works, and precious stone works.
 - **Muslin Industry:** Particularly famous for "Dacca Muslin," a fine variety of cotton textile.

• Key Sectors and Their Condition:

Agriculture Sector:

- **Zamindari System:** Imposed by the British, leading to exploitation of cultivators, high rents, and lack of investment by zamindars.
- **Commercialization of Agriculture:** Forced cultivation of cash crops (e.g., indigo, cotton) instead of food crops, leading to food scarcity.
- **Low Productivity:** Due to lack of irrigation, technology, fertilizers, and investment.
- **Lack of Investment:** Both by farmers (due to poverty) and zamindars (due to lack of incentive).
- **Impact of Partition (1947):** Loss of fertile lands and major jute-producing areas (East Bengal, now Bangladesh) to Pakistan.

Industrial Sector:

- **Decline of Handicrafts:** Discriminatory tariff policy (duty-free export of raw materials from India, heavy duties on Indian finished goods, duty-free import of British finished goods into India) led to the collapse of the indigenous handicraft industry.
- **Unemployment:** Mass unemployment among artisans.
- **Dependence on Foreign Goods:** India became a net importer of manufactured goods from Britain.
- **Low Contribution to GDP:** Modern industrial sector remained very small.
- **Weak Public Sector:** Limited industrial development, primarily in railways, power generation, communications, and some departmental undertakings.
- **Limited Modern Industrial Growth:** Tata Iron and Steel Company (TISCO) established in 1907. Some sugar, cement, and paper mills emerged post-WW1.

Foreign Trade:

- **Net Exporter of Primary Products:** Raw silk, cotton, wool, sugar, indigo, jute.
- **Net Importer of Finished Goods:** Cotton, silk, woollen clothes, capital goods from Britain.
- **Monopoly Control:** Britain maintained a monopoly over India's foreign trade. More than half of India's trade was restricted to Britain.
- **Drain of Wealth:** Surplus generated from foreign trade was used to pay for administrative and war expenses of the British, leading to the drain of India's wealth.
- **Suez Canal (1869):** Opened, reducing the cost and time of transport between India and Britain, further intensifying exploitation.

Demographic Condition:

- **1921 - The Year of Great Divide:** Before 1921, India's population growth was erratic; after 1921, population growth was continuous and steady.
- **High Birth Rate and Death Rate:** Indicative of poverty and poor health facilities.
- **Low Literacy Rate:** Overall literacy rate was less than 16%; female literacy was about 7%.
- **Low Life Expectancy:** Around 32 years (compared to 69 years presently).
- **High Infant Mortality Rate:** About 218 per thousand (compared to 33 per thousand presently).
- **Widespread Poverty:** Lack of healthcare, sanitation, and education.

Occupational Structure (as per 1951 data, reflecting pre-independence trends):

- **Primary Sector (Agriculture):** 73% of the workforce.
- **Secondary Sector (Industry):** 10% of the workforce.
- **Tertiary Sector (Services):** 17% of the workforce.
- **Heavy Dependence on Agriculture:** Signified backwardness and lack of diversification.

- **Regional Disparities:** Some regions like Madras Presidency, Bombay, Bengal witnessed a decline in agricultural workforce and rise in secondary/tertiary, while Odisha, Rajasthan, Punjab saw an increase in agricultural dependence.

Infrastructure:

- **Railways:** Developed from 1850. Facilitated long-distance travel, commercialization of agriculture, and movement of troops and raw materials.
- **Ports:** Developed to facilitate export of raw materials and import of finished goods.
- **Roads:** Built primarily for military purposes and movement of raw materials to ports.
- **Communication:** Telegraph and postal services introduced to maintain law and order and administer the vast Indian territory.
- **Limited Development:** Infrastructure development was primarily for the benefit of the British administration and economic interests, not for the welfare of the Indian population.

Some Positive Contributions of British Rule (often debated):

- **Monetary Economy:** Shift from barter to money-based economy.
- **Efficient Administrative System:** Introduced a well-structured administrative framework that India inherited.
- **Development of Transport Facilities:** Railways, roads, and ports, though for their own benefit, later served India.
- **Limited Famine Control:** Better transport helped in moving food grains to famine-stricken areas, though famines were also caused by British policies.

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